

# Nobody Is Recruiting Their Way Out of This Any More

Third edition in the Demographics, Migration and Labour Markets series, following *The Workforce You Can't Buy* of 9 July 2026.

The nine dated commitments that cycle set are graded in the continuity ledger below.

10 September 2026 · Audience: Boards, workforce planners, finance teams and policy leaders in any organisation whose plan depends on hiring people ·

Horizon: 6 to 18 months primary, 2 to 5 years secondary

Read estimate: 5 min Executive Synthesis · 24 min full read

## What you will learn

1. Why the countries with the worst labour shortages spent 2026 capping and pricing the workers they had spent a decade recruiting.
2. How to tell whether a weak monthly jobs number still means a weak labour market, and what replaced the old threshold.
3. Which lever actually moves older workers back into work, and why Germany found it is not the after-tax return on the hours.

## Key takeaways

1. Japan refused restaurant-sector visa applications received from 13 April 2026, once its acceptance ceiling of 50,000 was reached.
2. US break-even employment fell from about 250,000 jobs a month in 2023 to roughly minus 3,000 by late 2025.
3. Spain drew 1.2 million regularisation applications against a 500,000 expectation, and 337,917 were paying social security by August.

## Why this matters now

For twenty years the rich world has assumed that when it runs short of workers it can go and recruit some. That assumption stopped working this year, and not in one country.

Governments are now capping how many people they will admit, setting a price for entry, and making access conditional on employers training people at home first. At the same time they have turned inward for supply: legalising the people already working without papers, and paying pensioners to stay at their desks. Further out, the countries that used to send the workers are having far fewer children of their own.

**The one thing to take into the next meeting:** any workforce plan that closes its gap by hiring from abroad now depends on a permission somebody else rations. Find the roles where that is true, name them, and decide what happens if the permission does not come.

## Executive Synthesis

### Which vacancies on your plan assume you will be allowed to recruit someone from abroad?

*The evidence in this report says that permission is now rationed, priced and, in one case, already refused.*

The central tension of this cycle is that the labour shortage has stopped being treated as a recruitment problem by the governments experiencing it. Between March and September 2026, four advanced economies moved in the same direction at once: they capped, priced or conditioned the workers they would admit, and went looking instead for supply already inside their own borders. The last cycle in this series, in July, described immigration hardening from a lever into a political ceiling. That reading now needs correcting in both directions. The ceiling has become numerical rather than rhetorical, and the domestic reservoir the July cycle judged close to exhausted turns out to have had one large untapped seam in it: people already resident and already working, without papers or past pension age.

**Capping:** Japan stated its restaurant sector's acceptance projection as an acceptance ceiling of 50,000, found roughly 46,000 already in place at the end of February, and refused Certificates of Eligibility received on or after 13 April 2026 ([Immigration Services Agency of Japan](#), March 2026, Japanese). **Pricing:** the UK's Migration Advisory Committee now derives the general Skilled Worker salary threshold from a percentile rule, reporting that the 30th percentile of 2025 earnings "produces a general threshold of £44,000 (rounded to the nearest £100) using ASHE 2025." ([Migration Advisory](#)

[Committee](#), May 2026). **Conditioning:** the same committee recommended 28 of 82 occupations for eighteen months of shortage-list access and none for full access, cutting roughly 10,000 visas a year to about 4,000, conditional on an employer plan to use British workers ([Temporary Shortage List: Stage 2 report](#), July 2026). **Turning inward:** Spain drew nearly 1.2 million applications to its 2026 regularisation, "Nearly 1.2 million people applied by the June 30 deadline, more than double the government's original expectation of around 500,000, and two-thirds of applicants were from Central or South America." ([Migration Policy Institute](#), July 2026), and Germany exempted the first €2,000 a month of earnings from tax for anyone working past the statutory pension age ([Bundesministerium der Finanzen](#), June 2026, German).

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*The labour shortage has stopped being treated as a recruitment problem by the governments experiencing it.*

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The second movement is quieter and changes what the monthly data means. In the United States, break-even employment, the number of jobs needed each month to hold unemployment steady, "The break-even rate peaked at about 250,000 jobs per month in 2023, fell to roughly 10,000 by July 2025, and declined to near zero thereafter, averaging about –3,000 jobs per month from August to December 2025, indicating, if anything, a modest net jobs loss over this period." ([Federal Reserve Bank of Dallas](#), March 2026). Oxford Economics forecasts it falling from 50,000 now to zero next year and slightly negative by 2028 ([Oxford Economics](#), August 2026). A print that would have read as a stall in 2023 now reads as adequate. The catch is that the new yardstick is far less knowable than the one it replaced: alternative population vintages move break-even estimates by up to 66,000 jobs a month, around 60% of mean monthly gains over the post-pandemic period ([Federal Reserve Bank of Chicago](#), August 2026).

These are not two stories. A government that caps admissions has to find the workers somewhere, and every one of them reached for the same place: the people already inside. Spain converted irregular residents into contributors, Germany is paying its pensioners to stay, and the euro area's recent employment gain rests on workers aged 55 to 74 ([European Central Bank](#), May 2026). On the available evidence the operative constraint has moved from how many people you can recruit to how many you can keep, and almost no plan written before this year was built around that distinction.

Where this analysis could be wrong

The load-bearing assumption is that these caps and prices are durable settings rather than the top of a cycle. Two pieces of evidence in this briefing cut against it. Japan's ceilings rest on pandemic-era projections and the restaurant quota was held unchanged at 50,000 despite the first phase under-delivering, the signature of a number nobody has revisited rather than a considered limit ([East Asia Forum](#), May 2026), so a routine upward revision would dissolve the theme. In the UK, the price is set by a rule designed to move: the threshold re-derives at each ASHE update and shortage-list access runs for eighteen months rather than indefinitely, so a rule that tracks the labour market can track it back down. The claim that would force a material revision is a sectoral cap raised on demand within a fiscal year, or a UK threshold reset downward at the next ASHE update.

The decisions that cannot be deferred this cycle

- 1. **Name every role in the plan whose supply depends on a permission you do not control.** Caps, thresholds and conditional lists now sit between a funded vacancy and a person in it.
- 2. **State, in writing, the break-even employment number your reaction function uses.** If it is the one you used in 2023 you are reading every payroll print against a threshold that has fallen by two hundred thousand.
- 3. **Build the domestic-workforce plan before you need the visa, not after.** In the UK it is now the precondition for access rather than the alternative to it.

Continuity ledger: what the July edition said and what happened

Nine items carried forward from *The Workforce You Can't Buy*, 9 July 2026: six milestones it set to watch, two coverage gaps it left open, and one of its own findings. Each is graded here, including the ones that went against us.

| Obligation                                          | Verdict   | What changed                                                                                                                                                                                                                        |
|-----------------------------------------------------|-----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Japan: LDP autumn decisions on labour-permit reform | CONFIRMED | It did not wait for autumn. A sectoral ceiling bound in April and intake was closed ( <a href="#">Immigration Services Agency</a> , March 2026, Japanese); a government expert panel on future acceptance opened on 7 August with a |

|                                                                               |            |                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------|------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                               |            | basic policy due within the fiscal year ( <a href="#">NHK</a> , August 2026, Japanese).                                                                                                                                                                                                                             |
| EU: Pact implementation and sector-by-sector migration windows                | REOPENED   | The instrument that moved was returns, not sectoral windows. The 1 June political agreement on the Return Regulation names visa and trade policy as incentives in migration diplomacy ( <a href="#">European Commission</a> , June 2026), which is a different lever from the one the July cycle asked us to watch. |
| US: Q3 2026 revisions to BLS CPS methodology after the suspension review      | UNRESOLVED | No methodology decision surfaced in window. The adjacent finding is more consequential: it is the population denominator, not the survey instrument, that moves the break-even estimate, by up to 66,000 jobs a month ( <a href="#">Federal Reserve Bank of Chicago</a> , August 2026).                             |
| US: 2026 midterm elections and the migration-policy trajectory                | UNRESOLVED | The vote falls in November, after this cycle closes. It carries forward unchanged to the next edition.                                                                                                                                                                                                              |
| UK: Autumn Budget 2026 retirement-age signalling and the care wage settlement | UNRESOLVED | The Budget falls after this cycle. What did land in the UK was a price rather than a retirement age: a general Skilled Worker threshold derived by percentile rule ( <a href="#">Migration Advisory Committee</a> , May 2026).                                                                                      |
| OECD Employment Outlook update for revised participation trajectories         | UNRESOLVED | Not sourced this cycle. The euro-area participation evidence came instead from the ECB, which attributes more than 90% of the rise in the older-worker employment rate to higher participation ( <a href="#">European Central Bank</a> , May 2026).                                                                 |
| Coverage gap: Latin American net-emigration dynamics                          | CONFIRMED  | Closed for Colombia, which recorded a fourth consecutive annual fall in births and its lowest general fertility rate in a decade ( <a href="#">DANE</a> , March 2026, Spanish). Mexico remains uncovered.                                                                                                           |
| Coverage gap: retirement-age reform politics in                               | CONFIRMED  | Closed for Germany, which carries an entire theme and six German-language sources this cycle ( <a href="#">IAB-Kurzbericht 5/2026</a> , March 2026,                                                                                                                                                                 |

France, the Netherlands and Germany

German). France and the Netherlands remain open and carry forward.

Prior finding: the participation lever has largely been pulled

**BROKEN**

The July cycle judged domestic participation close to its ceiling. The evidence this cycle is that it was not: workers aged 55 to 74 delivered 1.4 of the 1.7 percentage point rise in the euro-area employment rate ([European Central Bank](#), May 2026), and Spain added 482,000 foreign affiliates in a year largely from people already resident ([Funcas](#), September 2026, Spanish).

## Audience Snapshots

*Four lenses on the same evidence base, one per function. Each card carries the single question this cycle puts to that function.*

WORKFORCE PLANNER WHOSE PLAN  
ASSUMES RECRUITMENT

**How many funded roles in the plan need a permission that a government now ratifies?**

**The shift:** Admission has moved from a queue you join to a quantity that is set in advance, and in Japan the quantity was reached and the queue closed mid-year.

**The question to brief:** For each hard-to-fill role, is the constraint the candidate, the salary, or the visa, and which of the three have we actually tested?

FINANCE TEAM READING THE MONTHLY  
LABOUR DATA

**What break-even employment number are our forecasts silently using?**

**The shift:** The threshold that separates a weak jobs report from an adequate one has collapsed towards zero, and the estimates of where it now sits disagree by tens of thousands of jobs a month.

**The question to brief:** If payrolls print negative next quarter and unemployment holds flat, does our model treat that as a downturn or as arithmetic?

GOVERNMENT AND POLICY READER

**Is our instrument set aimed at recruitment when the supply is already resident?**

**The shift:** Spain added more contributors by regularising people already working than most countries added by recruiting, while Germany's tax incentive for working pensioners has so far moved a very small number.

**The question to brief:** Which of our levers act on people already inside the country, and have we measured any of them against what recruitment actually delivers?

INVESTOR IN LABOUR-INTENSIVE SECTORS

**Which holdings have a headcount plan that a quota can close overnight?**

**The shift:** A Japanese restaurant chain running most of its full-time staff on a single visa category is one administrative notice away from being unable to replace them, and that notice was issued in April.

**The question to brief:** For each labour-intensive holding, what share of the workforce sits inside one visa route, and what is the concentration limit we would tolerate?

# Themes

*Five themes, ranked by how soon they change a decision. Each leads with the consequence, carries its own counter-argument, and points to the Strategic Implication it feeds.*

## 1. Countries are growing their workforce from people already inside it

IMMEDIATE

The largest single addition to a European workforce this year came from people who were already living and working in the country, and who were given papers. Spain's regularisation has put hundreds of thousands of existing workers onto the contributory rolls in months, at a speed no recruitment campaign matches. If your labour plan treats the resident population as fixed and the recruitment pipeline as the variable, this cycle has the relationship the wrong way round. The same manoeuvre is available at continental scale, and the EU has just decided the terms on which it will and will not use it.

- Nearly 1.2 million people applied to Spain's 2026 regularisation, more than double the government's expectation, with two-thirds of applicants from Central or South America ([Migration Policy Institute](#), July 2026).
- The Spanish government reports that almost 340,000 of August's registered affiliates came from the extraordinary regularisation process, with 337,917 regularised workers affiliated at end-August on the ministry's own count ([Ministerio de Inclusión, Seguridad Social y Migraciones](#), September 2026, Spanish; [Funcas](#), September 2026, Spanish).
- Of Spain's 679,000 annual rise in affiliation, 482,000 were foreign nationals, and in August the entire seasonally adjusted increase sat with foreign affiliates while Spanish nationals fell by 4,000 ([Funcas](#), September 2026, Spanish). On one newspaper's own calculation, regularised foreign nationals account for 43.7% of all new affiliations in 2026 to date ([El Español](#), September 2026, Spanish).
- The same instrument sits unused at scale in the EU: "On 30 June 2026, a total of 4.41 million non-EU citizens who fled Ukraine had temporary protection status in the EU." ([Eurostat](#), August 2026), with Germany hosting 1,286,230 of them. On 15 July member-state ambassadors extended protection to 4 March 2028 but excluded men aged 23 to 60 who cannot show an exit stamp or exemption from March 2027 ([Euronews](#), July 2026).



### The counter-argument

Two of this theme's own sources say the gain is smaller and more fragile than it looks. Strip out the regularisation effect and Funcas finds the underlying Spanish labour market decelerating, so much of the recorded growth is work reclassified rather than work created. COMPAS adds a design flaw with a date on it: "The permit does not automatically convert into permanent residence, meaning beneficiaries must transition into ordinary immigration categories under existing rules without any guarantee of renewal." ([COMPAS, University of Oxford](#), April 2026). That is a 2027 renewal cliff, not a permanent addition to supply, and the July decision to exclude military-age Ukrainians shows conversion answering to something other than labour need.

### Weak signals to watch

- **WEAK SIGNAL** The countries that supply the workers are thinning too. Philippine total fertility is "Among women aged 15 to 49 years, the TFR in the Philippines was 1.7 children per woman for the three-year period preceding the survey, indicating a continued decline from 4.1 children per woman in 1993." ([Philippine Statistics Authority](#), March 2026), below the conventional replacement level, and Colombian births fell for a fourth consecutive year to their lowest general fertility rate in a decade ([DANE](#), March 2026, Spanish).
- **WEAK SIGNAL** Morocco has fallen to 1.97 children per woman and Tunisia to an estimated 1.53 ([Institut national d'études démographiques](#), May 2026, French), though that is true of the Maghreb and not of North Africa as a bloc: the Institute for Security Studies puts regional fertility at "North Africa currently has the lowest fertility rate (3.0 births per fertile woman) among all the regions in Africa, ranging from 4.6 in Mauritania to 2.2 in Tunisia." and does not expect the region to reach replacement until 2043.
- **WEAK SIGNAL** Not every supplier is contracting. Indonesia is targeting 500,000 skilled placements between 2026 and 2029 through training tied to confirmed vacancies ([Migrant Times](#), July 2026), and UNFPA argues falling fertility becomes an economic problem through institutional failure to adapt rather than automatically ([UN News](#), April 2026). These bite after 2030, not inside this cycle.

**Decision link:** Strategic Implications [1](#) and [3](#).

## 2. Germany is paying pensioners to stay at work

IMMEDIATE

Germany has put a price on working past pension age, and the early evidence is that price is not the binding constraint. That matters well beyond Germany, because the tax exemption is the cleanest natural experiment any advanced economy has run on whether older workers

can be bought back into the labour force. If a €2,000 monthly exemption moves single-digit thousands of people, then every workforce plan that assumes retention of older staff can be solved with money needs a different instrument. The German evidence points at hours, workload and employer practice instead.

- The Aktivrente took effect on 1 January 2026: for people who have reached the statutory retirement age and remain in employment subject to social insurance, wage income up to €2,000 a month is tax-free ([Bundesministerium der Finanzen](#), June 2026, German).
- First payroll-data estimates, attributed to Datev's chief economist, put the measure's effect at roughly 9,000 additional employed old-age pensioners, on the basis that working pensioners average about twenty hours a week ([t-online](#), June 2026, German).
- Set against that, Germany's labour supply in 2026 falls by 470,000 for demographic reasons, rises 260,000 for behavioural reasons and 170,000 from migration, so behaviour is already contributing roughly one and a half times what migration does ([IAB-Kurzbericht 5/2026](#), March 2026, German).
- 14% of German pensioners aged 65 to 74 were in work on first results of the 2025 Mikrozensus, up from 13%, but 65% of those in dependent employment were in marginal work and 40% worked under ten hours a week ([Statistisches Bundesamt](#), August 2026, German).

### The counter-argument

Germany has tried this before and got the opposite of what it intended. When earnings limits for early retirees were abolished in January 2023, the share of new long-insured retirees with substantial additional earnings rose to 26.4% by 2024 from 10.0% in 2018, but their average retirement age fell, which IW says undermines the goal of longer working lives ([Institut der deutschen Wirtschaft Köln](#), June 2026, German). Bertelsmann points the same way from the other end: 37% of the early-retired would work again on the right terms, and what they name is control over hours and workload, not pay ([Bertelsmann Stiftung](#), March 2026, German). That study covers early retirees while the Aktivrente starts at the statutory age, so it qualifies the policy's logic rather than testing it.

**Decision link:** Strategic Implication 1.

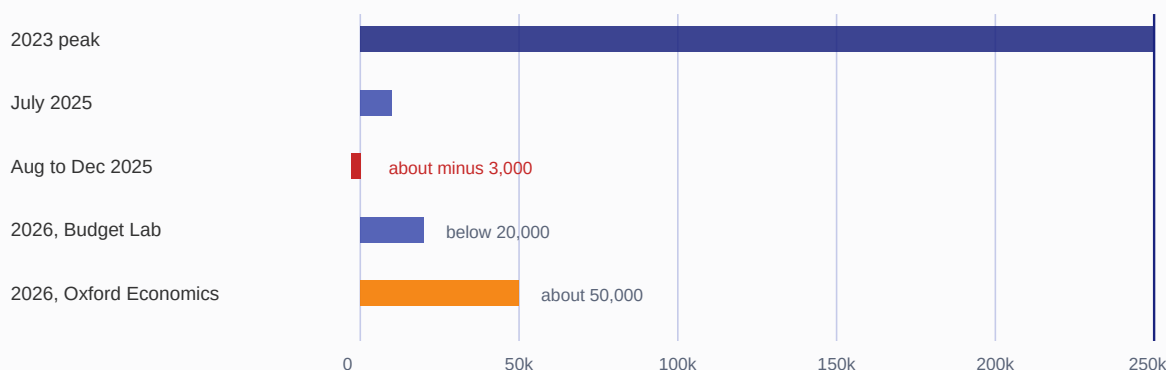
## 3. A weak jobs number no longer means a weak labour market

IMMEDIATE

The number of jobs the United States must add each month to hold unemployment steady has fallen to around zero, and may go negative. Any forecast, covenant, hiring plan or rate expectation calibrated on a two-hundred-thousand-a-month norm is now reading the same

data against a threshold that no longer exists. The harder problem is the second one: the replacement threshold is itself unstable, because the population denominator gets revised after the fact by enough to move the answer materially. Both facts have to be carried at once.

#### US break-even employment: jobs a month needed to hold unemployment steady



Contemporaneous 2026 estimates differ by roughly 50,000 jobs a month. Sources: Dallas Fed, Budget Lab at Yale, Oxford Economics.

*The threshold has collapsed, and the estimates of where it now sits do not agree.*

- Break-even employment "The break-even rate peaked at about 250,000 jobs per month in 2023, fell to roughly 10,000 by July 2025, and declined to near zero thereafter, averaging about –3,000 jobs per month from August to December 2025, indicating, if anything, a modest net jobs loss over this period." ([Federal Reserve Bank of Dallas](#), March 2026); net unauthorised immigration averaged minus 55,000 a month in the second half of 2025.
- Oxford Economics has "the breakeven pace of monthly employment growth forecasted to decline from 50,000 today to zero next year, and potentially turn slightly negative by 2028" ([Oxford Economics](#), August 2026), a multi-year recalibration rather than a 2026 anomaly, now reported in the general business press as well as in central-bank research ([Fortune](#), August 2026). The Budget Lab puts the same collapse at "By one measure, the so-called breakeven rate of monthly employment growth has fallen from above 150,000 in 2024 to below 20,000 in 2026", with 2026 estimates running from zero to above 80,000 depending on the immigration scenario chosen ([The Budget Lab at Yale](#), July 2026).
- The Kansas City Fed puts the labour force at or near a structural peak, projecting it "This continued aging is projected to weigh on the labor force, offsetting the CBO's projections for immigration and keeping the labor force about flat over the next five years." as ageing offsets projected immigration ([Federal Reserve Bank of Kansas City](#), June 2026).
- Yet the estimate is unstable at source: "alternative vintages produce breakeven estimates that differ by up to 66,000 jobs per month, around 60% of the mean monthly jobs gains over the post-pandemic period, according to our analysis." ([Federal Reserve Bank of Chicago](#), August 2026). Before 2020, average year-to-year population revisions were only 270,000 people.

### The counter-argument

Reading every soft print as arithmetic rather than weakness is the obvious way to get this wrong. The Budget Lab supplies the evidence against it: the hiring rate was 3.1% in February 2026 against a 2022 average of 4.2%, the job-finding rate for unemployed workers fell from almost 30% to around 24%, and average unemployment duration rose to nearly 26 weeks from under 20 in early 2023. Job-to-job transitions held steady throughout. The deterioration is real, concentrated on people already out of work, and invisible to an aggregate break-even argument ([The Budget Lab at Yale](#), March 2026).

**Decision link:** Strategic Implication 2.

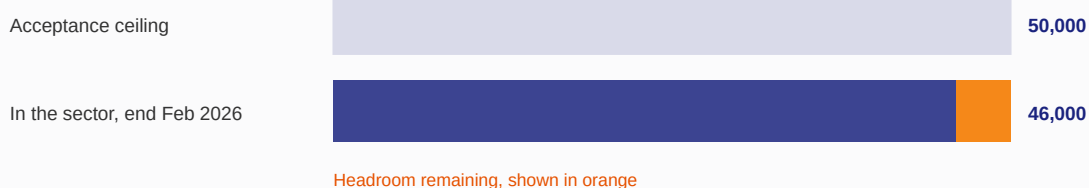
## 4. Japan is capping the workers it spent a decade recruiting

NEAR-TERM

Japan has turned a planning projection into an enforceable ceiling and used it to shut a sector's intake mid-year. For any organisation with Japanese operations, or with a supplier whose staffing runs through one visa category, the constraint has moved from whether workers can be found to whether the administrative number has room left in it. The cap bound in the sector with the most acute shortage, in the same year the foreign resident population set a record above four million.

### Japan: the restaurant-sector ceiling and what was already in it

Specified Skilled Worker (I), food-service sector



Applications received from 13 April 2026 were refused.

Source: Immigration Services Agency of Japan, 27 March 2026. The end-February figure is provisional.

*A projection used as a limit: the sector was within about four thousand of its ceiling when the notice was issued.*

- The Immigration Services Agency stated the food-service sector's acceptance projection as an acceptance ceiling of 50,000, recorded roughly 46,000 residents in the sector at end-February 2026, and refused Certificates of Eligibility received on or after 13 April 2026 ([Immigration Services Agency of Japan](#), March 2026, Japanese).

- This happened at a record high of foreign residents: 4,125,395 at end-2025, up 9.5% and above four million for the first time ([Immigration Services Agency of Japan](#), March 2026, Japanese), against 2,571,037 foreign workers on the mandatory employer-notification series ([Ministry of Health, Labour and Welfare](#), January 2026, Japanese, structural anchor).
- The quotas rest on pandemic-era projections: the restaurant sector projected 53,000 in the first phase but hired about 35,000, and the second-phase quota was left unchanged at 50,000, with one noodle chain running roughly 500 of its 660 full-time staff on the route ([East Asia Forum](#), May 2026).
- The successor system is being built out even as intake tightens: Japan and Thailand signed the first memorandum of cooperation on the Employment for Skill Development system on 2 June 2026 ([Immigration Services Agency of Japan](#), June 2026, Japanese), and a government expert panel on future acceptance opened on 7 August with a basic policy due within the fiscal year ([NHK](#), August 2026, Japanese).

### The counter-argument

A ceiling nobody intended as one can be raised as easily as it was applied. The 50,000 is a second-phase quota carried over unchanged from an under-delivering first phase, and Japan is widening the successor route through bilateral agreements, so April could be queue management rather than restriction. What makes an upward revision costly now is political: East Asia Forum reports immigration hardliners appointed to key positions after the far-right Sanseito party's 2025 gains. Two related readings sit alongside it: that Japan is restricting through administrative discretion rather than legislation, with naturalisation scrutiny stretched towards a decade ([East Asia Forum](#), May 2026), and the successor system carries limits of its own, since "it also introduces stricter language requirements and admission caps" ([East Asia Forum](#), April 2026).

**Decision link:** Strategic Implications [1](#) and [3](#).

## 5. Work visas are now rationed by rule, not by shortage

NEAR-TERM

The UK has stopped deciding case by case who may be recruited and started publishing the rule that decides it. The threshold is a percentile of national earnings, so it moves with the labour market rather than with a minister, and shortage-list access runs eighteen months and only where the employer has a plan to use British workers, so asserting a shortage no longer obtains it. The work that used to happen after a shortage was declared now has to happen before it. Keep this separate from the contested lifetime fiscal argument alongside it: the published rule allocates access, the fiscal case is offered to justify the wider settlement regime. The EU runs the same instrument outward, naming visa policy as leverage over third countries.

- Setting the general Skilled Worker threshold at the 30th percentile of full-time earnings for eligible occupations "produces a general threshold of £44,000 (rounded to the nearest £100) using ASHE 2025.", with occupation-specific thresholds worked at the 25th percentile ([Migration Advisory Committee](#), May 2026).
- "We recommend 28 occupations for 18-month access." and none for full access, with 18 refused; the 82 occupations considered represented about 10,000 visas a year and those recommended about 4,000, conditional on a Jobs Plan to maximise use of the UK workforce ([Temporary Shortage List: Stage 2 report](#), July 2026).
- The EU makes the same linkage explicit at the border: the Commission states that its migration diplomacy "This includes the use of incentives, such as readmission instruments, financing tools, visa and trade policy as part of the EU's migration diplomacy outreach to third countries." ([European Commission](#), June 2026), alongside a Return Regulation permitting return hubs in third countries unrelated to a person's origin ([Euronews](#), March 2026).
- MAC is replacing the stay-duration assumptions inside that fiscal modelling with observed data on 916,000 Skilled Worker journeys, and the data cut against the assumptions: "Taking into account the fact that low earners and care workers are more likely to stay in the UK longer-term would reduce the projected fiscal benefit of the Skilled Worker route relative to those same workers having shorter stay durations." ([Who stays, who leaves?](#), May 2026).

### The counter-argument

The challenge is aimed at the fiscal case, not at the rule. The Migration Observatory shows lifetime fiscal estimates are artefacts of the assumptions chosen, reporting the OBR finding that a migrant arriving at 25 on average UK earnings contributes more over a lifetime than a UK-born worker on the same salary ([Migration Observatory, University of Oxford](#), June 2026). Sunder Katwala argues the overhaul is politically rather than fiscally driven, and that IPPR and others have shown "the £10 billion figure is a mirage" ([UK in a Changing Europe](#), April 2026); CEPS makes the parallel case on the EU side, that conditionality rules manufacture the irregularity they then police ([Centre for European Policy Studies](#), March 2026). That is a strong argument the fiscal arithmetic should not be doing this work, but not an argument that the threshold and the shortage list are cosmetic: those are published, dated, and already cut roughly 10,000 visas a year to about 4,000, whichever way the dispute settles.

**Decision link:** Strategic Implications [3](#) and [2](#).

# Strategic Implications

*Four decisions turn this cycle's evidence into a plan. Each names the move, a horizon and a decision posture.*

## SI 1: Re-base the workforce plan on retention and conversion, not on recruitment volume

Every government here has stopped solving its shortage by recruiting and started working on the people already inside the perimeter. Do the same arithmetic on your own workforce before the next planning round: of the roles scheduled for external hire, how many could be filled by retaining someone already leaving, extending someone past retirement, or converting a contingent worker. Germany is the warning attached to it. Pay alone moved single-digit thousands, while hours, workload and employer practice are what binds, so a retention plan built on a salary increment will produce the German result.

**Action: the CHRO should split every funded vacancy into recruited, retained, converted and automated by 31 December 2026, costing the retention lines on working conditions rather than pay.**

**DECIDE**

*Draws on Themes 1, 2 and 4*

## SI 2: State the break-even employment assumption your forecasts are using, and put a range on it

A model treating 150,000 monthly US payroll gains as the neutral line is mis-specified by roughly that entire amount, and the correction is not a single new number: contemporaneous 2026 estimates here differ by about 50,000 jobs a month, and population revisions alone move it by up to 66,000. Write the assumption down, carry it as a range rather than a point, and decide in advance what a negative print with flat unemployment means for hiring authority, capital commitments and rate expectations. The alternative is to discover the assumption when it has already produced the wrong reaction.

**Action: the CFO should have the FY27 planning pack state its break-even assumption as a sourced range, re-tested at each CBO or Census population revision.**

**DECIDE**

*Draws on Themes 3 and 5*



### SI 3: Build the domestic-workforce plan before you need the visa

UK shortage-list access now depends on an employer plan to use the domestic workforce, and runs eighteen months rather than indefinitely. That inverts the old sequence, in which a company demonstrated shortage and then received access. The plan is the entry ticket now, and it takes longer to build than the application takes to file. Treat training, apprenticeship and progression commitments as part of the immigration file rather than a separate corporate-responsibility exercise, in the UK and in any jurisdiction adopting conditionality. The same discipline guards against the Japanese failure mode, where one visa route carries a concentration of headcount an administrative notice can close.

**Action: the CHRO and public affairs lead should produce, by 31 March 2027, a domestic-workforce plan for each sponsored occupation and a concentration limit for any single visa route.**

PREPARE

*Draws on Themes 5, 4 and 1*

### SI 4: Put the dates on which these rules reset into the planning calendar

Every constraint in this briefing carries a review date, and none of them has an owner. The UK threshold re-derives at the next ASHE update, shortage-list access runs eighteen months, Japan's sectoral ceilings can be revised inside a fiscal year, and Spain's regularisation permits renew at twelve. Each is already an early indicator in the scenario matrix below, which is what makes this cheap: the watchlist exists and needs a name against it, rather than being rediscovered when a route closes.

**Action: the head of workforce planning should own a dated reset calendar by 31 January 2027, covering the ASHE update, the shortage-list review, Japanese ceiling revisions and the Spanish renewal window.**

MONITOR

*Draws on Themes 1, 4 and 5*

## Scenario Matrix

*Two uncertainties will shape the next two to five years more than any others. The vertical axis is how foreign labour is allocated, running from rationed by number and price at the top to restored on demand at the bottom. The horizontal axis is whether the domestic participation response materialises, running from stalling on the left to materialising on the*



*right. The four scenarios below are planning aids, not forecasts.*

**DOMESTIC PARTICIPATION RESPONSE**

## Hard Ceiling

Caps, thresholds and conditional lists hold or tighten, and the domestic response does not arrive: tax incentives move small numbers, regularisation stalls at renewal, and older-worker participation plateaus. Labour-intensive sectors ration output rather than wages, and the binding constraint on growth becomes headcount rather than demand. Wage pressure concentrates in the occupations that cannot be automated or offshored, particularly care, food service, construction and logistics. Public finances absorb the cost twice, through lower contributory receipts and through service rationing. Organisations that concentrated headcount in a single visa route discover the concentration when an administrative notice closes it, as Japan's food-service employers did in April 2026.

**Early indicators:** a second Japanese sector reaching its ceiling; UK shortage-list refusals exceeding grants at the next review; Spanish regularisation renewals falling materially below first-grant volumes in 2027.

## The Inside Track

Admission stays rationed, but the inward turn works. Regularisation converts durably rather than expiring, older-worker retention responds to redesigned hours and workload rather than to tax relief, and participation among the groups furthest from the labour market rises. Labour supply holds up without net inflows, which removes the political cost of the shortage and entrenches the caps. Employers who invested early in retention, conversion and progression take disproportionate advantage, because the marginal worker is sourced internally now and few organisations do it well. A workforce function stops being administrative overhead here and starts being a competitive asset, and the gap between organisations that built one and those that did not shows up in output rather than in cost.

**Early indicators:** German working-pensioner numbers rising faster than the Datev estimate implies; Spanish regularised affiliates sustained through the 2027 renewal window; euro-area older-worker participation continuing to outpace statutory-age effects.

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## RESTORED · STALLING

### Back to the Old Lever

Caps prove to be unrevised administrative numbers rather than policy, and are raised when sectors complain loudly enough, while the domestic response disappoints. Recruitment resumes as the primary instrument and the 2026 tightening reads in hindsight as a queue-management episode. The risk in this environment is complacency: the sending-side arithmetic in the weak signals continues regardless, so the corridor reopens into a supply base that is ageing and, in several named countries, already below replacement. Costs rise through competition for a shrinking pool rather than through permission, and the constraint reappears later in the decade in a less negotiable form.

**Early indicators:** a Japanese sectoral ceiling raised mid-fiscal-year; UK salary thresholds reset downward at the next ASHE update; EU temporary protection converted to work status without the March 2027 conditions.

## RESTORED · MATERIALISING

### Both Taps Open

Access eases and domestic participation also materialises: the most benign quadrant here, and the least likely on current evidence. Supply recovers from both directions, wage pressure in shortage occupations subsides, and the fiscal argument for restricting entry weakens as contributory receipts rise. The planning risk inverts. Organisations that over-invested in retention and automation on an assumption of permanent scarcity carry cost they cannot shed quickly, and advantage swings back to those who stayed flexible. Even here the sending-side constraint sets a horizon, so read this as a decade of relief rather than a return to the pre-2024 baseline, and size the relief accordingly.

**Early indicators:** US break-even employment revised upward on a higher immigration path; UK Temporary Shortage List access extended beyond eighteen months at review; a major receiving economy announcing a second regularisation.

# What We Are Not Planning For

## TECHNOLOGICAL SUBSTITUTION

### Automation closing the gap in care, food service and construction inside the horizon

The July cycle in this series found that automation gains land in cognitive white-collar work while the demographic pressure sits in care, trades, delivery and hospitality. Nothing in this cycle's evidence base changes that, and the sectors where caps actually bound this year, Japanese food service and UK care, are precisely the ones where substitution is slowest and most capital-intensive. Planning for a substitution effect inside eighteen months would misallocate capital away from the retention and conversion work that Themes 1 and 2 show is available now.

↺ **Reinstated if** a major receiving economy revises a sectoral labour projection downward citing deployed automation rather than demand.

## FERTILITY POLICY

### Pronatalist measures changing labour supply within the planning horizon

A child born in response to a policy announced today enters the labour force in the 2040s, which is outside every horizon in this briefing. The evidence base contains a live argument about whether fertility decline reflects preference or affordability, and it is a serious one, but it bears on the 2040s rather than on the next planning round. We are excluding it not because it is unimportant but because it cannot move a decision this cycle, and treating it as though it can crowds out the levers that operate on a two-year timescale.

↺ **Reinstated if** a sending country ties emigration policy or bilateral labour agreements explicitly to domestic fertility targets.

## A coordinated reopening of migration routes across receiving economies

Four jurisdictions moved in the same restrictive direction within six months, driven by domestic politics that are not synchronised and would not unwind together. Individual reversals are entirely plausible and are covered in the Back to the Old Lever scenario; a simultaneous one is not, and planning for it would remove the pressure to do the retention and conversion work that pays off under every other scenario in the matrix. This is a deliberate asymmetry: the cost of preparing for scarcity that eases is lower than the cost of assuming ease that does not arrive.

↺ **Reinstated if** two of the four jurisdictions in this briefing loosen a numerical or price constraint in the same quarter.

## Questions For The Next Strategy Meeting

Five questions this cycle's evidence should put on the agenda.

- 01 If we could fill only half the roles in next year's plan that require a visa, which half would we choose, and does anyone currently own that ranking?
- 02 Our forecasts imply a view on how many jobs the economy must add each month to hold unemployment steady. What is that number, who set it, and when was it last changed?
- 03 What is the largest share of one site's headcount we are willing to have sitting inside a single visa route, and are we already above it anywhere?
- 04 Germany bought older workers with a tax exemption and moved a very small number. If we needed to keep a hundred people past their planned retirement date, what would we change first, and would it be pay?

05 Which of our long-horizon plans names a source country whose fertility is already below replacement, and would we notice if the corridor narrowed before the plan did?

## Source Confidence Register

This briefing draws on 43 verified sources, gathered under a soft six-month window (publications from 14 March 2026 onward), with 1 structural anchor carried outside it and flagged. The mix is 19 Tier 1, 17 Tier 2, 7 Tier 3 and 0 Tier 4, so 84% is Tier 1 or Tier 2 and no board-level claim rests on a vendor or practitioner source. 16 sources are non-English across 4 languages, read in the original and cited in English with the language named. Every theme carries a source chosen to challenge it, argued in the counter-argument blocks rather than buried here. Three limits: 0 records carry no verbatim quote and are used as faithful summaries; two records sit close enough to the window edge or carry a weak enough date field to be flagged for replacement next cycle; and one widely reported Japanese ceiling figure was excluded as unverifiable in window. A sixth theme on sending-country demography was cut for low decision value and its evidence now sits in the weak-signals block inside theme 1, which is why that theme carries more sources than the others. The Claim-Fidelity Appendix records all of this.

Source tiers: Tier 1, governments, regulators and intergovernmental bodies. Tier 2, think-tanks, academic institutes, major consultancies and quality data providers. Tier 3, quality journalism and specialist trade press. Tier 4, vendor, company and practitioner sources, used only as directional corroboration.

### Theme 1: Countries are growing their workforce from people already inside it

| Source                                                                                                              | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                  |
|---------------------------------------------------------------------------------------------------------------------|---------------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Eurostat (European Commission)</a>                                                                      | <b>Tier 1</b> | Aug 2026 | At 30 June 2026, 4.41 million non-EU citizens who fled Ukraine held temporary protection status in the EU. Germany hosted 1,286,230 (29.2% of the EU total), Poland 961,170 (21.8%) and Czechia 390,810 (8.9%).                                                                                                                                                                                                 |
| <a href="#">Ministerio de Inclusión, Seguridad Social y Migraciones / La Moncloa (Gobierno de España) (Spanish)</a> | <b>Tier 1</b> | Sep 2026 | August 2026 Social Security balance: 22,345,226 affiliates in the original series; +679,023 over the year (+3.13% interannual); 3,551,759 foreign workers affiliated in August; 67 consecutive months of growth in the seasonally adjusted series. Minister Elma Saiz states that almost 340,000 of the month's registered affiliates come from the extraordinary regularisation process for foreign nationals. |

| Source                                                                                | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------------------------------------------------------|---------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">COMPAS, Centre on Migration, Policy and Society, University of Oxford</a> | <b>Tier 2</b> | Apr 2026 | Author Alessandra Enrico Headrington notes ~500,000 irregular migrants expected to gain status, 700,000+ signatures on the citizens' petition that drove the measure, a five-month minimum continuous residence requirement, and one-year residence-and-work permits. She argues the permits do not automatically convert to permanent residence, so beneficiaries must move into ordinary immigration categories with no guaranteed renewal.                                                                                                                                                         |
| <a href="#">Migration Policy Institute (Migration Information Source)</a>             | <b>Tier 2</b> | Jul 2026 | Nearly 1.2 million people applied to Spain's 2026 regularisation by the 30 June deadline, more than double the government's ~500,000 expectation; two-thirds of applicants were from Central or South America. The authors (Diego Chaves-González and Anna Terrón Cusí) cite an estimated 838,000 unauthorised immigrants in Spain in early 2025, 91% (761,000) of them from the Americas; an estimated €2.5 billion annual fiscal benefit over five years; 20.3% of Spain's population foreign-born at January 2026; and 1.2 million people collectively regularised in Spain between 1986 and 2005. |
| <a href="#">Funcas (Spanish)</a>                                                      | <b>Tier 2</b> | Sep 2026 | Seasonally adjusted affiliation rose ~70,000 in August 2026, but the entire increase is concentrated in foreign affiliates (+74,000) while Spanish nationals fell by 4,000, deepening a slowdown observed in prior months. Over the year, affiliation rose 679,000, of which 482,000 (71%) were foreign nationals. Regularised immigrants affiliated stood at 337,917 at end-August 2026 per ministry data.                                                                                                                                                                                           |



| Source                                                                                         | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------|---------------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Euronews</a>                                                                       | <b>Tier 3</b> | Jul 2026 | EU member-state ambassadors agreed on 15 July 2026 to extend temporary protection for Ukrainians to 4 March 2028, but from March 2027 protection will be granted only to those who have fulfilled military obligations in Ukraine, excluding men aged 23 to 60 who cannot show an exit stamp or exemption document. The article cites 4.38 million people under temporary protection as at 31 May 2026. Author: Vincenzo Genovese. |
| <a href="#">El Español (Invertia) (Spanish)</a>                                                | <b>Tier 3</b> | Sep 2026 | On the newspaper's own calculation, regularised foreign nationals already account for 43.7% of new Social Security affiliations in 2026 to date (headline rounds this to 44%).                                                                                                                                                                                                                                                     |
| <a href="#">Departamento Administrativo Nacional de Estadística (DANE), Colombia (Spanish)</a> | <b>Tier 1</b> | Mar 2026 | Colombia registered 433,678 births in 2025 (preliminary), 20,223 fewer than in 2024, a fall of 4.5%. This follows falls of 7.0% in 2022, 10.1% in 2023 and 12.0% in 2024. The general fertility rate fell to 30.9 births per 1,000 women aged 15-49, from 32.6 in 2024, the lowest value in a decade.                                                                                                                              |
| <a href="#">Philippine Statistics Authority</a>                                                | <b>Tier 1</b> | Mar 2026 | The 2025 National Demographic and Health Survey, the 13th since 1968, puts the Philippine total fertility rate at 1.7 children per woman for the three years preceding the survey, down from 4.1 in 1993. Rural fertility is 2.0 (from 4.8 in 1993) and urban 1.5 (from 3.5). Regional spread runs from 1.3 in Region IV-A to 2.4 in BARMM. The national figure sits below the conventional 2.1 replacement level.                 |

| Source                                                                                                                        | Tier          | Date      | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------|---------------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">UN News (United Nations)</a> , reporting UNFPA                                                                    | <b>Tier 1</b> | Apr 2026  | UNFPA economist Michael Herrmann argues demographic change is not itself a crisis and that the policy answer is demographic resilience rather than fertility targets or forced later retirement. The piece reports UNFPA findings that around one in five adults worldwide believe they will not be able to have the number of children they want, mainly for reasons of economic insecurity, and that populations in parts of the Western Balkans have fallen by 20% to 30% since the 1990s largely because people left to seek work elsewhere, contrasting this with Germany avoiding decline through immigration. |
| <a href="#">Institut national d'études démographiques (INED)</a> , <a href="#">Population &amp; Sociétés</a> no. 644 (French) | <b>Tier 2</b> | May 2026  | Ouadah-Bedidi, Bouchoucha and Abdellatif show the Maghreb has fallen to historically low fertility. Morocco declined continuously and without rebound to a total fertility rate of 1.97 children per woman in 2024. Tunisia reached a historic low of 1.58 in 2023 and an estimated 1.53 in 2024, having crossed replacement at 2.1 in 1999 and then rebounded to about 2.4 in the mid-2010s. All three countries came down from around seven to eight children per woman in the 1970s.                                                                                                                              |
| <a href="#">African Futures &amp; Innovation Programme</a> , <a href="#">Institute for Security Studies (ISS)</a>             | <b>Tier 2</b> | Evergreen | ISS puts North Africa's current fertility rate at 3.0 births per woman, the lowest of any African region but still well above replacement, ranging from 4.6 in Mauritania to 2.2 in Tunisia. The region's 15-30 cohort fell from 27% to 24% of population between 1990 and 2019 and median age reached 26.7 years in 2019, projected to rise to 31.7 by 2043, when regional fertility is expected to reach 2.1. Informal employment averages 40.9% of the workforce, projected to fall to 36.2% by 2043.                                                                                                             |

| Source        | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------------|--------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Migrant Times | Tier 3 | Jul 2026 | Indonesia's Ministry for the Protection of Indonesian Migrant Workers (KP2MI) announced on 21 July 2026 a target of 500,000 skilled migrant worker placements between 2026 and 2029 through the SMK Go Global programme: 40,000 in 2026, 140,000 in each of 2027 and 2028, and 180,000 in 2029. 40,000 participants will be enrolled in 2,000 training classes in 2026, with courses tied to confirmed vacancies in KP2MI's placement system. |

## Theme 2: Germany is paying pensioners to stay at work

| Source                                                     | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------------------|--------|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| European Central Bank<br>(Economic Bulletin, Issue 3/2026) | Tier 1 | May 2026 | Authors Nina Furbach and Afonso S. Moura find that people aged 55-74, though only 34% of the working-age population in 2022, contributed 1.4 percentage points of the 1.7 percentage point total rise in the euro area employment rate since Q1 2022, versus 0.7pp from those aged 25-54 and zero from 15-24s; the compositional ageing drag was -0.4pp. More than 90% of the rise in the older-worker employment rate came from higher participation. Average effective retirement age rose about 0.5 years from 2022-2024, of which statutory retirement-age changes explain only ~0.1 years. Japanese employment rates at 60-64 (74%) and 65-69 (54%) far exceed euro area rates (53% and 19%). |
| Bundesministerium der Finanzen (BMF)<br>(German)           | Tier 1 | Jun 2026 | The German federal finance ministry confirms the Aktivrente entered into force on 1 January 2026: for people who have reached the statutory retirement age (Regelaltersgrenze) in the statutory pension insurance and are in employment subject to social insurance contributions, wage income remains tax-free up to €2,000 per month.                                                                                                                                                                                                                                                                                                                                                            |

| Source                                                                                                    | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------------------|---------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Statistisches Bundesamt (Destatis) (German)</a>                                               | <b>Tier 1</b> | Aug 2026 | <p>On first results of the 2025 Mikrozensus, 14% of pensioners aged 65 to 74 in Germany were in employment, up from 13% the previous year. 16% of male and 11% of female pensioners were working; 19% of 65-66 year-olds versus 8% of 73-74 year-olds. Among employed pensioners in dependent employment, 65% were in marginal (minor) employment, 40% worked under 10 hours a week and 13% worked more than 40 hours.</p>                                                                                                                                                                                                    |
| <a href="#">Institut für Arbeitsmarkt- und Berufsforschung (IAB), IAB-Kurzbericht Nr. 5/2026 (German)</a> | <b>Tier 2</b> | Mar 2026 | <p>IAB's 2026 projection: employment falls by 90,000 on annual average, the first contraction since 2009, and socially-insured employment fails to grow for the first time since the financial crisis (-30,000); unemployment rises ~40,000. On labour supply, the Erwerbspersonenpotenzial in 2026 falls 470,000 for demographic reasons, rises 170,000 from migration (on assumed net migration of 230,000) and rises 260,000 for behavioural reasons, so behaviour contributes roughly 1.5x what migration contributes. Further gains in older-worker participation are expected from the newly introduced Aktivrente.</p> |

| Source                                                                              | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-------------------------------------------------------------------------------------|---------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Bertelsmann Stiftung (German)</a>                                       | <b>Tier 2</b> | Mar 2026 | Representative lidA cohort data on people in early retirement in Germany: 20% are already in work at the time of survey; 14% express a concrete wish to work again; a further 37% would be willing to work again if the conditions suit them; only 25% reject employment outright. What matters most to respondents is being able to determine their own workload and working hours and finding a pleasant social environment at work; financial motives play a subordinate, though not negligible, role. The study locates the Aktivrente as offering financial incentives from the statutory retirement age onward, and concludes that employers will have to approach retired baby boomers actively with attractive, negotiated offers. |
| <a href="#">Institut der deutschen Wirtschaft Köln (IW-Report 29/2026) (German)</a> | <b>Tier 2</b> | Jun 2026 | Authors Ruth Maria Schüler and Stefanie Seele examine the abolition of earnings limits for early retirees (limit €6,300/year pre-2020, raised to €44,590 in 2020 and €46,060 in 2021, abolished entirely on 1 January 2023). The share of newly retiring long-insured workers with substantial additional earnings rose to 26.4% in 2024 from 10.0% in 2018; for severely disabled pensioners, to 19.9% from 8.6%. Crucially, the average retirement age of early retirees FELL after 2023, contrary to the policy's intent. Women adjusted less dynamically than men.                                                                                                                                                                     |
| <a href="#">t-online (Ströer Digital Publishing GmbH) (German)</a>                  | <b>Tier 3</b> | Jun 2026 | First payroll-data estimates of the Aktivrente's effect, based on Datev data and attributed to Datev chief economist Timm Bönke: because old-age pensioners work around twenty hours a week on average, the measure has probably produced on the order of 9,000 additional employed old-age pensioners. The article reports the number of employed pensioners rising continuously each month since the measure was announced. Author: Amy Walker.                                                                                                                                                                                                                                                                                          |

### Theme 3: A weak jobs number no longer means a weak labour market

| Source                              | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------|--------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Federal Reserve Bank of Dallas      | Tier 1 | Mar 2026 | Break-even employment growth peaked at about 250,000 jobs per month in 2023, fell to roughly 10,000 by July 2025, and averaged about -3,000 jobs per month from August to December 2025. Net unauthorised immigration averaged -55,000 per month in H2 2025; the 2025 total of -548,000 was about 50 percent larger in magnitude than CBO projections. Payroll growth over December 2025-February 2026 slightly exceeded the break-even rate on average. Under a constant labour force participation scenario, break-even would be about 30,000 jobs per month by end-2025, down from 160,000 in 2023.                             |
| Federal Reserve Bank of Kansas City | Tier 1 | Jun 2026 | The US labour force grew from 164 million in 2018 to over 172 million by 2025, but declined during 2025. The 65-and-over share rose from 13% of the population in 2011 to 19% in 2025 and is projected to reach 22% by 2045. Net immigration peaked above 3.5 million in 2023 and is projected by CBO to fall to 574,000 by 2026. Without immigration gains since 2018 workforce expansion would have been under 2 million; participation gains contributed roughly 6 million but participation is at historically high levels with limited room to rise. The labour force is projected to be about flat over the next five years. |

| Source                                          | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------------|---------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Federal Reserve Bank of Chicago</a> | <b>Tier 1</b> | Aug 2026 | Alternative population vintages produce breakeven estimates differing by up to 66,000 jobs per month at the peak of the discrepancy, around 60% of mean monthly job gains over the post-pandemic period. CBO's February 2026 projections revised the population path from 2024 onward up by roughly 2 million people versus Census Vintage 2024. In 2022:Q3 the divergence between Census Vintage 2023 and 2026 CBO breakeven calculations was around 25,000 jobs monthly, rising nearly fourfold by 2023:Q1. Pre-2020, average year-to-year Census population revisions were only 270,000 people, or 0.1% of the working-age population. |
| <a href="#">The Budget Lab at Yale</a>          | <b>Tier 2</b> | Mar 2026 | The hiring rate was 3.1% in February 2026, down from a 12-month average of 3.3% and well below the 2022 average of 4.2%. The job-finding rate for unemployed workers fell from almost 30% at its 2022 peak to around 24%. Average unemployment duration rose to nearly 26 weeks from under 20 weeks in early 2023. Job-to-job transitions and nonparticipant-to-employment rates stabilised across 2024-2025, meaning the cooling is concentrated on the already-unemployed.                                                                                                                                                              |
| <a href="#">The Budget Lab at Yale</a>          | <b>Tier 2</b> | Jul 2026 | The breakeven rate of monthly employment growth has fallen from above 150,000 in 2024 to below 20,000 in 2026, with 2026 estimates ranging from zero to above 80,000 depending on immigration scenarios. The three-month average through May 2026 was 188,000 jobs. Unemployment reached 4.3% in May 2026, up from a low of 3.4% in April 2023.                                                                                                                                                                                                                                                                                           |
| <a href="#">Oxford Economics</a>                | <b>Tier 2</b> | Aug 2026 | Breakeven monthly employment growth is forecast to decline from 50,000 today to zero next year and potentially turn slightly negative by 2028, driven by restrictive immigration policies and demographic shifts.                                                                                                                                                                                                                                                                                                                                                                                                                         |

| Source  | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---------|--------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Fortune | Tier 3 | Aug 2026 | Historically monthly job gains of around 125,000 to 150,000 were considered necessary to offset workforce entrants. Oxford Economics estimates the breakeven rate is currently about 50,000 new jobs per month, down from more than 200,000 in 2022 and 2023. Dallas Fed research found the rate went slightly negative in summer/autumn 2025. The rate is projected to fall to zero next year and turn slightly negative in 2028. |

#### Theme 4: Japan is capping the workers it spent a decade recruiting

| Source                                                             | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------|--------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 厚生労働省 (Ministry of Health, Labour and Welfare) (Japanese) [anchor] | Tier 1 | Jan 2026 | As of 31 October 2025 there were 2,571,037 foreign workers in Japan, up 268,450 year on year, the highest since notification became mandatory in 2007; the year-on-year growth rate was 11.7%, down 0.7 points from the prior year's 12.4%. Employers hiring foreign workers numbered 371,215 establishments, up 29,128 or 8.5%. Top nationalities: Vietnam 605,906 (23.6%), China 431,949 (16.8%), Philippines 260,869 (10.1%).                                                                                                                     |
| 出入国在留管理庁 (Immigration Services Agency of Japan) (Japanese)         | Tier 1 | Mar 2026 | Foreign residents in Japan reached 4,125,395 at end-2025, up 356,418 or 9.5% year on year, a record high and the first time above 4 million. Mid-to-long-term residents were 3.858 million and special permanent residents 266,896. Top nationalities: China 930,428, Vietnam 681,100, South Korea 407,341. Top statuses of residence: permanent residence 947,125, engineer/specialist in humanities/international services 475,790, student 464,784, trainee 456,618, Specified Skilled Worker 390,296. Tokyo held 801,438, or 19.4% of the total. |



| Source                                                                                      | Tier   | Date        | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|---------------------------------------------------------------------------------------------|--------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 出入国在留管理庁<br>(Immigration Services<br>Agency of Japan)<br>(Japanese)                         | Tier 1 | Mar<br>2026 | Japan is operating its sectoral acceptance projection as a hard ceiling for the first time. For the Specified Skilled Worker restaurant and food-service sector the acceptance projection is stated as the acceptance ceiling of 50,000 people; the number of Specified Skilled Worker (i) residents in the sector had already reached approximately 46,000 at the end of February 2026 (provisional), and the ceiling was expected to be exceeded. Applications for Certificates of Eligibility in the sector received on or after 13 April 2026 will not be granted. |
| 出入国在留管理庁<br>(Immigration Services<br>Agency of Japan)<br>(Japanese)                         | Tier 1 | Jun<br>2026 | Japan and Thailand signed a memorandum of cooperation on 2 June 2026 on the 育成就労制度 (Employment for Skill Development system), the first such memorandum concluded for that system, replacing the equivalent framework under the Technical Intern Training Programme. Japanese ministries commit to proper administration of approval and certification and to notifying Thailand of enforcement actions; Thailand's labour ministry commits to supervising sending organisations and reporting investigation results on problematic operators.                         |
| East Asia Forum<br>(Crawford School of<br>Public Policy, Australian<br>National University) | Tier 2 | Apr 2026    | Japan will replace the Technical Intern Training Programme with the Employment for Skill Development programme from April 2027 while streamlining entry into the Specified Skilled Worker programme. More than half of TITP workplaces violated labour regulations annually. Only approximately 2% of SSW visa holders had achieved SSW2 status by 2025. The ESD programme introduces stricter language requirements and admission caps while barriers to settlement remain unchanged.                                                                                 |

| Source                                                                                      | Tier   | Date        | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------|--------|-------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| East Asia Forum<br>(Crawford School of<br>Public Policy, Australian<br>National University) | Tier 2 | May<br>2026 | The Ministry of Justice has tightened scrutiny of tax payments, pension contributions, health insurance compliance, employment stability and legal records over longer periods of residence. Although the Nationality Act formally requires five years or more of continuous residence for naturalisation, applicants now face practical expectations closer to a decade. Permanent residency has traditionally required ten years. SSW visa holders reached record numbers by end-2025 with strong growth in chronically short-staffed sectors.                                                                                                                                                                                                                                    |
| East Asia Forum<br>(Crawford School of<br>Public Policy, Australian<br>National University) | Tier 2 | May<br>2026 | Japan's restaurant industry suspended new recruitment under the Type 1 Specified Skilled Worker visa after hitting its quota of 50,000 workers in April 2026. The SSW framework expanded from 345,000 workers (2019-24) to 820,000 (2024-29), but quotas rest on pandemic-era projections. In the first phase only two of twelve eligible industries met 90-100% of recruitment targets; the restaurant sector projected 53,000 but hired about 35,000 during COVID-19, and the second-phase quota was held unchanged at 50,000. One noodle chain, Yudetaro, employed roughly 500 of its 660 full-time staff under the SSW framework. Immigration hardliners were appointed to key positions under PM Sanae Takaichi following the far-right Sanseito party's 2025 electoral gains. |
| 日本放送協会 (NHK)<br>(Japanese)                                                                  | Tier 3 | Aug<br>2026 | The Japanese government's expert panel on the future shape of foreign national acceptance held its first meeting on 7 August 2026. It will discuss the effects of the rising foreign resident population on the economy and on the social security system, to be reflected in a basic policy the government intends to compile within the current fiscal year.                                                                                                                                                                                                                                                                                                                                                                                                                      |

## Theme 5: Work visas are now rationed by rule, not by shortage

| Source                                                                                  | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------------------------|---------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Migration Advisory Committee (UK)</a>                                       | <b>Tier 1</b> | May 2026 | MAC linked 916,000 Skilled Worker migrant journeys (2014-2024) in Home Office administrative records. Retention is high and rising: roughly 81% of those granted a first Skilled Worker visa aged under 45 remain in the UK over the five-year window, against about 65% for those aged 45 and over; health and care occupations retain around 88% at five years versus 76% in education. Crucially, the lowest earners (under £40,000) are the most likely to stay long term and the highest earners (£125,000+) the most likely to leave, which MAC says reduces the projected fiscal benefit of the route relative to shorter stay durations. |
| <a href="#">Migration Advisory Committee (UK)</a>                                       | <b>Tier 1</b> | May 2026 | The MAC's technical note sets out how Skilled Worker salary thresholds are calculated. Setting the general threshold at the 30th percentile of the full-time annual earnings distribution for all eligible RQF6+ non-pay-scale occupations produces a general threshold of 44,000 pounds (rounded to the nearest 100 pounds) using ASHE 2025. Occupation-specific thresholds are worked through at the 25th percentile.                                                                                                                                                                                                                          |
| <a href="#">European Commission, Directorate-General for Migration and Home Affairs</a> | <b>Tier 1</b> | Jun 2026 | The Commission confirms the 1 June 2026 political agreement between Parliament and Council on a Common European System for Returns, introducing a European Return Order with mutual recognition, stronger forced-return rules where a person fails to cooperate or absconds, obligations such as financial guarantees, regular reporting and designated residence, and the possibility of return hubs in third countries. It states explicitly that the Commission and Member States use visa and trade policy, financing tools and readmission instruments as incentives in migration diplomacy with third countries.                           |

| Source                                                    | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------|---------------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Migration Advisory Committee (UK)</a>         | <b>Tier 1</b> | Jul 2026 | The MAC's final Stage 2 recommendations on the Temporary Shortage List: of 82 occupations in scope, 28 are recommended for 18-month TSL access, none are recommended for full access through to the next review (expected in three years' time), and 18 are recommended not to receive TSL access. The 82 in-scope occupations represented around 10,000 visas a year on average from 2022/23 to 2024/25; those recommended for the list represented around 4,000 visas a year. Access is conditional: an occupation must have an 'ambitious Jobs Plan' aimed at maximising use of the UK workforce. |
| <a href="#">Centre for European Policy Studies (CEPS)</a> | <b>Tier 2</b> | Mar 2026 | Davide Colombi argues the Return Regulation is built on the Commission's premise that only around 20% of those issued a return order are removed from EU territory, and that this statistic misreads legal and structural constraints as enforcement failure. He argues irregular status is manufactured by the ordinary operation of European rules, naming employer-tied permits that lapse when a job ends and income thresholds missed after a bad year, and notes the regulation contains no regularisation pathway and no firewall between immigration enforcement and essential services.     |

| Source                                                                   | Tier          | Date      | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------|---------------|-----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">UK in a Changing Europe (King's College London)</a>          | <b>Tier 2</b> | Apr 2026  | Sunder Katwala argues the settlement overhaul is politically rather than fiscally driven. He notes net migration fell to 205,000 in the twelve months to June 2025 without public recognition, that qualifying timelines are doubled as a baseline, trebled for some and quadrupled for refugees with 15-year waits common for mid-skill workers such as chefs, electricians and data analysts, and that IPPR and others have shown the £10 billion care-worker cost figure to be a mirage because a longer path to settlement makes little difference to it and most costs fall three decades out.                                                                                                                                                                                     |
| <a href="#">The Migration Observatory, University of Oxford (COMPAS)</a> | <b>Tier 2</b> | Evergreen | The briefing sets out that fiscal impact estimates are highly sensitive to method and assumptions. It reports the OBR (2024) finding that a migrant arriving at 25 on UK average earnings has a more positive lifetime fiscal contribution than a UK-born worker on the same salary, that low-wage workers show negative and high earners positive lifetime impacts, and Oxford Economics' calculation that a single 20-year-old needs about £10,000 a year to break even fiscally while a couple with two children needs roughly £45,000. It reports MAC 2025 findings that Skilled Worker and Health and Care main applicants are fiscally positive while care workers and family members of British citizens are negative, against roughly £4,000 for a working-age British citizen. |

| Source   | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------|--------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Euronews | Tier 3 | Mar 2026 | The European Parliament adopted its position on the Return Regulation by 389 votes to 206 with 32 abstentions. The text allows member states to return irregular migrants to third countries unrelated to their origin where a bilateral agreement exists to build return hubs, extends maximum detention to 24 months (against the Council's proposed 30), leaves maximum entry-ban duration unlimited after Parliament rejected the Council's 20-year cap, and permits permanent entry bans for those deemed security risks. Negotiations with non-recognised third-country entities are permitted in the final text. |

## Claim-fidelity self-disclosure

### Cycle-over-cycle continuity claims

Three claims in this briefing reach back to the previous edition in this series, *The Workforce You Can't Buy* of 9 July 2026. The Executive Synthesis states that the July cycle described immigration hardening from a lever into a political ceiling; this traces to `cycles[8].key_findings[1]` in the series memory. The Continuity Ledger grades the prior finding that the participation lever had largely been pulled as BROKEN; that finding traces to `cycles[8].themes[0].analytical_thesis`, and the grading is the analyst's judgement against this cycle's ECB and Funcas evidence, not a claim made by either source. The exclusion on automation restates the July finding that substitution lands in cognitive white-collar work rather than in care and trades, which traces to `cycles[8].key_findings[3]`. Every ledger row grades an item drawn from `cycles[8].next_cycle_milestones_to_track` OR `cycles[8].coverage_gaps_to_address_next_cycle`; no ledger row asserts a prior commitment that does not appear in one of those two fields.

### Superlatives used

Four superlatives appear in the body. "The first time above four million" for Japan's foreign resident population is used by the Immigration Services Agency for the same referent. "Record high" for the same series, and "the highest since notification became mandatory in 2007" for the foreign-worker count, are both used by the source. "The slowest since June 2023" for Philippine remittance growth is FXC Intelligence's own characterisation. "Historically low" applied to Maghreb fertility

follows INED's own framing. Two further phrasings are analyst characterisation rather than source language and are flagged here: "the largest single addition to a European workforce this year", in the Theme 1 framing, is the analyst's comparative judgement and no source in the evidence base ranks national workforce additions; and "the cleanest natural experiment any advanced economy has run", in the Theme 2 framing, is analyst characterisation with no source equivalent. Both have been left in as explicit editorial judgements rather than softened into false precision, and neither carries a number.

## Analytical synthesis claims

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The central claim of this briefing is a synthesis no single source makes: that Japan's caps, the UK's thresholds and conditional shortage list, the EU's visa leverage, Spain's regularisation and Germany's Aktivrente constitute one direction of travel rather than five national policies. It reads across sources 22 to 24, 30 to 32, 1 to 4 and 8 to 13, and is marked in the body with an analyst-voice frame at the close of the Executive Synthesis and again in the stress-test box, which states plainly that no source in the evidence base makes the cross-country claim. A second synthesis claim, that the operative constraint has moved from recruitment to retention and conversion, draws on the ECB, IAB, Funcas and Migration Policy Institute records and is framed as "on the available evidence". A third, in Theme 6's counter-argument, holds that the correct planning statement is corridor-specific closure rather than a global end of labour supply; it reconciles the INED and ISS records, which genuinely disagree about North Africa, and is framed as "taken together, the sources suggest". A fourth is structural to Theme 5: the briefing treats the UK's published allocation rule and the lifetime fiscal argument attached to the settlement regime as two instruments rather than one. No source states that separation. It is the analyst's reading, and if the two are in fact a single instrument then the theme has the mechanism wrong. An earlier draft did not draw the distinction at all and the frame-fidelity audit returned CONTRADICTION on the theme, which is what prompted it.

## Scope decisions

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Six themes were drafted and five are published. The theme cut was "The sending countries are running out too", removed at the analyst's direction because it was the only one whose framing conceded it did not bite inside the briefing's primary horizon, and the only one feeding no Decide-posture implication. Six of its seven sources survive as the weak-signals block in Theme 1, including the briefing's only French-language record and the Colombian vital-statistics record the continuity ledger's Latin America row rests on; the FXC Intelligence record on Philippine remittance deceleration was dropped together with the claim it supported. Two consequences the reader should weigh. Theme 1 carries thirteen sources where the others carry seven or eight, because it now holds the sending-side evidence as well as its own. And the briefing carries no Longer-Range theme this cycle, so the three-tier impact hierarchy runs on two tiers.

## Figures declined and evidence not used

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One widely reported figure has been deliberately excluded. A combined ceiling of 1.23 million for Japan's Employment for Skill Development and Specified Skilled Worker systems appears in secondary reporting of a cabinet decision of 23 January 2026, which falls outside this cycle's recency window, and the figure could not be confirmed from any Tier 1 or Tier 2 source inside it; every in-window page carrying the number was a commercial immigration-consultancy site. The theme is built instead on the sectoral ceiling the Immigration Services Agency published and enforced. Separately, the Home Affairs Committee's March 2026 report on earned settlement, which carries the Home Office's £9.5 billion lifetime-cost estimate, fell one day outside the 180-day window and was dropped rather than carried; the disputed £10 billion framing survives in the briefing only through its critics, which the reader should weigh when reading Theme 5.

*This Decision Intelligence briefing is the quarterly synthesis of a Shaping Tomorrow intelligence cycle on **Demographics, Migration and Labour Markets**. It sits on top of weekly Signal Scans that identify emerging developments and weak signals, and monthly Change Trackers that assess what is materially shifting in momentum. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.*

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